
ICELAND
2012

Table of Contents

1. Overview of the system.....	1
2. Unemployment insurance.....	2
3. Unemployment assistance.....	3
4. Social assistance.....	3
5. Housing benefits	5
6. Family benefits.....	7
7. Childcare for pre-school children.....	8
8. Employment-conditional benefits	10
9. Lone-parent benefits.....	10
10. Tax system.....	12
11. Part-time work.....	13
12. Policy changes.....	14

1. Overview of the system

Iceland has an insurance-based unemployment benefit system. Two kinds of housing benefit programmes are in existence. One, there is a rent benefit for tenants with low income and two, mortgage interest benefits are open to home owners. Means-tested family benefits are available to parents. The social security administration provides benefits for lone parents providing for two children or more. Financial assistance is available from local governments for those without other resources and that do not qualify for benefits from the central government and/or the social security system.

1.1. *Average worker wage (AW)*

The 2012 AW level is ISK 6 079 006¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2006-2007*, OECD, 2008, part 5, sections 2 and 3.

2. Unemployment insurance

2.1 Conditions for receipt

In order to qualify for unemployment benefits, one has to be between 16 and 70 years of age, willing and available to work, and must be resident of and settled in Iceland. He must have been registered unemployed for at least three days, but receives benefits from the first day.

2.1.1 Employment conditions

An employee must have worked for at least 3 months of the preceding 12 months to qualify for any benefits. In order to qualify for full benefits, he must have worked for the last 12 months. Part-timers qualify for proportionally reduced benefits.

2.1.2 Contribution conditions

Coincide with the employment conditions. Benefits are paid from the Unemployment Insurance Fund which is financed by compulsory employers' social security contributions levied on all earnings.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Benefits are paid in proportion to the number of hours worked in insured employment in the previous 12 months:

- The full benefit amount is ISK 167 176 per month.
- The minimum benefit amount is ISK 41 794 per month (25 per cent of full benefits).
- Parents receive a family supplement of ISK 6 687 per month (4 per cent of full benefits) per dependent child below 18 years of age.
- Since 2006, benefits are linked to previous employment income to an extent. After having received the general benefit amount for ten days the recipient is entitled to 70% of his employment income (average income in the six month period ending two months prior to unemployment), subject to a maximum of ISK 263 548 monthly, and for 65 days (three months) only. After that he will continue to receive the general benefits only, for the remainder of his entitlement period.

2.2.2 Income and earnings disregards

If a recipient has occasional employment for one or two days at a time, benefit is reduced in proportion to the number of hours worked.

2.3 Tax treatment of benefit

Benefits are subject to general income tax.

2.4 Benefit duration

Benefits are paid for a maximum of three consecutive years. A temporary provision provides a prolongation of one year for a person who has become unemployed after 1 March 2008. This person may

receive benefits for a maximum of 48 months, but with a waiting period of 3 months after the first 42 months.

2.5 Treatment of particular groups

2.5.1 Young persons

None.

2.5.2 Older workers

None.

3. Unemployment assistance

The central government, through its Directorate of Labour, offers job-related and educational programs, retraining courses and consulting services for unemployed persons. This is carried out in cooperation with local governments and various service organisations and is fully paid for out of central government funds. As a temporary, general measure to encourage employers to hire unemployed persons, the unemployed person may receive benefits for up to 6 months during a trial or training period with an employer, or for up to 12 months if the employment qualifies as innovation. An unemployed person may receive benefits while studying, for a maximum of 13 weeks.

4. Social assistance

A need-based subsistence benefit is paid as a last resort by local governments.

4.1 Conditions for receipt

To qualify, persons must be fully or partially unqualified for benefits from the central government or the Social Security Institute.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Financial assistance is the difference between the needs (the applicable amount) and the claiming household's resources. The applicable amount for the capital, Reykjavik, is shown below. Note that rates differ regionally.

Household type	Applicable amount: recommended minimum monthly rate (in ISK)
Individual	157 493
Couple	236 240
Individual, living with parents	78 747
Individual, living with other than parents	132 696

An individual, living with parents, who himself supports a child, is entitled to 132 696 ISK monthly. There are no other regular allowances for dependent children. The resources include all gross family income. Excluded is income of children and all benefits paid in respect of children such as child support and family benefits, as well as mortgage interest rebates and rent benefits. The exemption is the lone parent benefit, which is included as family income in the same way as labour income, unemployment benefits, capital income, etc. Recipients who have received benefits for at least three months are entitled to a December bonus of 25% of their regular monthly assistance.

4.2.1.1 Irregular additional payments

Additional support may be provided to beneficiaries of assistance to meet various expenses, such as funeral costs, dental bills, education etc.

Parents may be entitled to additional support, up to 12,640 ISK per child monthly, to pay for child care, school meals or activities directed at the child's well-being. This support is granted on an individual basis, subject to revision after each 6 month period. They may also receive 12,640 ISK twice, in August and December, towards expenses at beginning of school and Christmas.

4.2.2 Income and earnings disregards

There are no disregards; there is a one-to-one means test including all gross family income.

4.3 Tax treatment of benefit

Subject to general income tax.

4.4 Benefit duration

Social assistance is granted on basis of a decision, with a base period of either three or six months. After six months, assistance may continue, following consultation and an assessment of eligibility. No general absolute duration limit applies.

4.5 Treatment of particular groups

None

5. Housing benefits

There are two schemes for housing benefits, one for tenants and one for home owners. A) Rent benefits are available to households renting accommodations as long as no household member owns any other real estate. The central government finances the rent benefits partially but local authorities administer the benefits. B). Home owners can receive interest rebates to offset their mortgage payments. The cost of mortgage interest rebate is borne by central government.

5.1 Conditions for receipt

Rent benefits are available to tenants with a certified rental agreement of at least 6 months' duration. The rented accommodation must be a self-contained unit, such that e.g. rooms in dormitories on campuses are excluded. Rent benefits are means-tested. Rent benefits are targeted on low-income tenants and are therefore subject to an income test.

Mortgage interest rebate is open to all home owners with mortgage payments but is subject to limits on net assets, total mortgage liabilities and a maximum interest payment amount.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Rent benefit. The rent benefit is a fixed amount per claiming household of ISK 13 500 per month, with additional ISK 14 000 per month for one dependent child, plus ISK 8 500 per month for a second child, plus ISK 5 500 per month for the third and additional children. The children must have a legal residence in the rental home. In addition, 15 per cent of the rent above ISK 20 000 and below ISK 50 000 is added to the above amounts. One per cent of the household's previous year's taxable income in excess of ISK 2 250 000 of all non-studying household members 20 years or older is deducted per month of payment of rent benefit. 25 per cent of the household's annual net wealth exceeding ISK 6 383 000 is counted as income in this respect. The final rent benefit can never be higher than ISK 46 000 per month or half of paid rent, whichever is lower.

Mortgage interest rebate. This programme is in effect a part of the tax system. The rebate is based on interest paid on a home purchase loan. The following constraints apply to interest rebates paid in 2013, based on tax returns for 2012: (1) They cannot exceed 7 per cent of the remaining debt balance incurred in buying a home for one's own use. (2) The maximum amount of interest payments that qualify for an interest rebate calculation is ISK 0.8 million for an individual, ISK 1.0 million for a lone parent and ISK 1.2 million for a couple. (3) 8 per cent of taxable income is subtracted from the interest expense. (4) The rebates begin to be curtailed at a net worth threshold of ISK 4 million for a single individual and lone parent and at ISK 6.5 million for a couple and are eliminated altogether at a 60 per cent higher amount. (5) The maximum amounts of interest rebates are ISK 0.4 million for an individual, ISK 0.5 million for a lone parent and ISK 0.6 million for a couple. In 2012 an additional condition was introduced to this scheme: the rebate is not paid to those who have not actually paid their due interest on mortgage debt of the preceding year.

As a temporary measure to assist indebted households, effective in 2011 and 2012, an additional interest rebate, called special interest subsidy, is paid to home-owners. The addition amounts to 0.6% of debt due to a purchase of a home. The maximum value of the rebate is ISK 200 000 for a single individual and ISK 300 000 for a single parent and a couple. The amount is reduced proportionally for net worth above ISK 10 million for a single person and ISK 15 million for a single parent and a couple. The upper threshold is ISK 20 million for a single individual and ISK 30 million for a single parent and a couple.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The sum of the ordinary and the temporary rebate may not exceed interest payments on mortgage debt in the preceding year.

5.2.2 *Income and earnings disregards*

Full rent benefits are paid to families with combined annual income of up to ISK 2.25 million. One per cent of income in excess of this threshold would be deducted from benefits on a monthly basis.

The temporary special interest subsidy is not tested against income.

5.3 ***Tax treatment of benefit***

Rent benefit. Not taxed.

Mortgage interest rebate. Not taxed. Administered and paid through tax authorities.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

6. Family benefits

Means-tested benefit for dependent children.

6.1 Conditions for receipt

To have a dependent child under 18 years of age.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit amount per child and income limits depend on the household type.

<i>Amounts paid in the stated year, based on income in the previous year (ISK)</i>	2009	2010	2011	2012	2013
Children under the age of eighteen					
First child	152.331	152.331	152.331	152.331	167.564
Each additional child	181.323	181.323	181.323	181.323	199.455
Additional benefit for children under the age of seven					
For each child under the age of seven	61.191	61.191	61.191	61.191	100.000
Benefits for single parents					
First child	253.716	253.716	253.716	253.716	279.087
Each additional child	260.262	260.262	260.262	260.262	286.288
Income threshold for benefit curtailment					
For couples	3.600.000	3.600.000	3.600.000	3.600.000	4.800.000
For single parent	1.800.000	1.800.000	1.800.000	1.800.000	2.400.000
Curtailment of benefits					
For one child	2%	2%	3%	3%	3%
For two children	5%	5%	5%	5%	5%
For three children or more	7%	7%	7%	7%	7%
Additional benefit for children under the age of seven	.	.	3%	3%	3%

Note that child benefits paid in 2013 are based on information from 2012 tax returns.

6.2.2 Income and earnings disregards

The general benefit for parents with one child is reduced by 3 per cent of income above the income limit, by 5 per cent for parents with 2 children and by 7 per cent for parents with 3 or more children. The additional benefit for children under 7 years of age is reduced by 3% for each child, of income above the limit.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

See below for treatment of lone parents.

7. Childcare for pre-school children

Pre-schools are available to all children who have not reached the age at which compulsory school begins, i.e. in autumn of the year in which the child turns six. However, few pre-schools accept children less than one year old, and the youngest children are usually about two years of age. Before that they may be cared for by day-care parents.

7.1 Out-of-pocket childcare fees paid by parents*Full-time childcare*

Local municipalities pay for the construction and the operation of pre-primary schools. Parents contribute a substantial amount towards operating costs at the pre-primary level. The share that the parents contribute varies from one municipality to another. In most municipalities, reduced rates are available to lone parents and students and some offer reduction to parents who have two or more children attending schools at the pre-primary level. On the whole, parents contribute about a sixth of the operating costs of pre-primary schools.

The fee of Reykjavík pre-schools is divided into two categories:

- I. No discount. Applies for married parents and parents who live together.
- II. Discount fee. Applies for families where both parents are students; for lone parents; one or both parents are disabled; employees of Reykjavik Preschools.

To qualify for category II, studying parents must study full-time. This category is also for full-time students in junior college and vocational schools. Evening classes are not valid.

Tuition fee for each category and meal fee in 2012 is shown in the table below.

The fees of Reykjavík Preschools paid by parents (ISK, valid from 1 January 2012)					
	Tuition fee			Total fee	
Hourly fee	Category I	Category II	Meal fee	Category I	Category II
up to 8 hours	2 140	887	.	.	.
1/2 hour 8 - 8,5 hours	3 940	1 634	.	.	.
1/2 hour > 8,5 hours	7 880	3 267	.	.	.
4,0 hours	8 560	3 548	1 484	10 044	5 032
4,5 hours	9 630	3 992	1 484	11 114	5 476
5,0 hours	10 700	4 435	5 897	16 597	10 332
5,5 hours	11 770	4 879	5 897	17 667	10 776
6,0 hours	12 840	5 322	5 897	18 737	11 219
6,5 hours	13 910	5 766	5 897	19 807	11 663
7,0 hours	14 980	6 209	7 381	22 361	13 590
7,5 hours	16 050	6 653	7 381	23 431	14 034
8,0 hours	17 120	7 096	7 381	24 501	14 477
8,5 hours	21 060	8 730	7 381	28 441	16 111
9,0 hours	28 940	11 997	7 381	36 321	19 378
9,5 hours	36 820	15 264	7 381	44 201	22 645

Parents with more than one child are entitled to 75% discount of tuition fee for second child and 100% discount for third child or more children. Parents must pay full meal fee for every child (see table). This discount rule applies equally for children in a pre-school who have siblings in a family day-care or in a private pre-school, see the table for subsidy of day -care fees.

Part-time childcare

Pre-schools operated by municipalities offer part-time or full-time care, see table above.

7.2 Child-care benefits

Reykjavík and many other municipalities subsidise child-care with day-care parents. Day-care parents are certified to operate child-care services in their homes. They set their fees individually.

7.2.1 Conditions for receipt

Generally, the conditions for receiving a subsidy are that parents are unable to place their children in pre-schools or day-care centres, usually due to waiting-lists, and therefore place them with day-care parents. Subsidy is granted from the time when the child is nine months old, but for lone parents and studying parents from the age of six months.

7.2.2 Calculation of benefit amount

Subsidies vary from one municipality to another. The following subsidy applies in Reykjavík. Categories I and II are the same as in section 7.1 above. A minimum fee applies, amounting to 4 hours of care. For siblings, a 75% rule applies for second child, but for third child the same subsidy is granted as for one child (see table).

Subsidy of day-care parent services (ISK, valid from 1 January 2012)						
Hourly fee	Category I			Category II		
	Subsidy for one child	Addition for second child	Addition for third child	Subsidy for one child	Addition for second child	Addition for third child
up to 8 hours	5 088	3 816	5 088	6 969	5 227	6 969
1/2 hour 8-8,5 hours	1 269	952	1 269	2 589	1 942	2 589
1/2 hour beyond 8,5 hours	0	0	0	1 698	1 274	1 698
4,0 hours	20 352	15 264	20 352	27 876	20 908	27 876
4,5 hours	22 896	17 172	22 896	31 361	23 522	31 361
5,0 hours	25 440	19 080	25 440	34 845	26 135	34 845
5,5 hours	27 984	20 988	27 984	38 330	28 749	38 330
6,0 hours	30 528	22 896	30 528	41 814	31 362	41 814
6,5 hours	33 072	24 804	33 072	45 299	33 976	45 299
7,0 hours	35 616	26 712	35 616	48 783	36 589	48 783
7,5 hours	38 160	28 620	38 160	52 268	39 203	52 268
8,0 hours	40 704	30 528	40 704	55 752	41 816	55 752
8,5 hours	41 973	31 480	41 973	58 341	43 758	58 341
9,0 hours	41 973	31 480	41 973	60 039	45 031	60 039

Category I: General rate, applies for married parents and parents who live together.
Category II: Discount rate, applies for families where both parents are students; for lone parents; one or both parents are disabled; employees of Reykjavik Preschools.

7.2.2.1 Calculation of gross benefit

See above.

7.2.2.2 Income and earnings disregards

Subsidy is available to all parents, regardless of income.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Subsidy is not subject to income tax nor does it interact with other benefits.

7.2.4 *Treatment of particular groups*

7.3 **Child care allowance for children not using child care centers**

In 2012, benefits to parents who care for their children at home in the period beginning 6 months after the child is born until the child enters pre-school (cash-for-care) have been abolished in most or all municipalities where this type of benefit was formerly available. (This trend is explained by the tight financial situation of municipalities and surging demand for social assistance that they are required to provide, whereas cash-for-care is optional for them). Reykjavík, the largest municipality, abolished cash-for-care in April 2011. No legislation exists on cash-for-care. Generally, cash-for-care is available only if no formal centre-based childcare is used. The receiving parents may be employed or not. The benefit is not means-tested and not taxable. If used by the recipient towards paying for child care, it is taxable with the caregiver, usually a family member. The benefit amount may vary significantly between municipalities.

8. **Employment-conditional benefits**

None.

9. **Lone-parent benefits**

Lone parents with two or more children are entitled to additional benefits from the Social Security Administration, the so-called mother/fatherhood allowance.

9.1 ***Conditions for receipt***

To be living alone with at least two children under 18 years of age.

9.2 ***Calculation of benefit amount***

9.2.1 *Calculation of gross benefit*

Lone parent benefits	Yearly amounts
2 children	84 168
3 children	218 844

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.2 *Income and earnings disregards*

The benefit is not income tested.

9.3 ***Tax treatment of benefit***

Subject to general income tax.

9.4 ***Treatment of particular groups***

A support benefit is paid to parents with children that are disabled or suffering from a long-term illness and in need of continuous stay-at-home care. The benefit amounts to ISK 131 100 monthly in 2012.

10. Tax system

Iceland has a dual income tax system. Personal income tax for central and local government is collected together on a withheld basis. Capital income tax is paid to central government, partly on a withheld basis.

10.1 Income tax

In 2010, the personal income tax was reformed into a triple-rate system for the first time since the adoption of the withheld tax system (PAYE) in 1988.

10.1.1 Tax allowances and credits

- *Relief(s) for compulsory pension contributions:* Since January 2000, the compulsory payment by employees to pension funds, amounting to 2 per cent of wages, is deductible. In addition, a voluntary payment of up to 2 per cent of wages may also be deducted. As the additional contribution is optional, it is considered to be a non-standard relief.
- *Work-related expenses:* earnings-related transportation costs (net of fringe benefits) are deductible up to a certain limit.
- There is a basic tax credit of ISK 558 385 per earner annually or ISK 46 532 monthly. The credit is subtracted from central and local government taxes; unused portions are not refundable. Seamen get an additional tax credit, calculated per diem for number of days at sea. The per diem amount in 2012 is 493 ISK and is credited against the central government tax.
- *Standard marital status relief:* Married couples may utilise up to 100 per cent of each spouse's unutilised portion of his/her basic tax credit.

10.1.2 The definition of taxable income

Category A comprises wages and salaries, including presumptive employment income of the self-employed (see below), employment-related benefits, old-age pensions, social security payments, grants, payments to copyright holders, royalties, etc. *Category B* comprises income from a business and income from an independent economic activity. *Category C* comprises investment income such as dividends, interest and capital gains. Income in category C is taxed at a flat 20 per cent rate with a tax free limit for interest income of ISK 100 000 annually.

10.1.3 The tax schedule

- The central government personal income tax has three rates in 2012. The bottom rate of 22.90 per cent applies to personal income up to ISK 230 000 per month; the middle rate is 25.8 per cent for the next ISK 474 367 and the top rate is 31.8 per cent for incomes above ISK 704 367.
- The local government personal income tax average rate is 14.44 per cent. The tax base is the same as the central government's (categories A and B).
- The central and local government personal income tax is collected together on a monthly withheld basis. The schedule for the sum of the two rates is: 37.34 per cent, 40.24 per cent and 46.24 per cent. The personal tax credit of ISK 46 532 produces a general tax free limit of ISK 124 617 monthly.

10.2 *Treatment of family income*

In general, the tax unit is the individual. A special rule applies for taxable income in the third bracket (above ISK 8 452 400 annually), if the spouse's taxable income is below ISK 8 452 400. A part of the income above ISK 8 452 400 is then taxed in the second bracket. The part is determined by half of the amount by which the spouses income is below ISK 8 452 400, subject to a maximum of ISK 2 846 200.

Non-wage income of married couples is taxed jointly.

10.3 *Social security contribution schedule*

In 2012, employees with annual taxable income above ISK 1 495 404 pay two fixed annual fees. ISK 9 600 goes to the Construction Fund for the Elderly and ISK 19 700 goes to the Treasury, but intended to finance the National Broadcasting Service. Persons less than 16 years old and 70 years or older are exempt as well as old-age pensioners or disabled residing in old-age, nursing homes or special care establishments. Both fees are payable in the following year (2013).

Employers pay a social security contribution on their total payroll cost to the Treasury. The rate was raised on 1 January 2010 from 7.00% to 8.65% and lowered again in 2012, to 7.79%. The proceeds go towards – but do not fully finance – the central government's costs of old age, disability, health care and childbirth leave, the remainder of the cost coming from general tax revenue. Furthermore, a new financial activities tax was introduced in 2012, which requires financial and insurance companies to pay an additional 5.45 per cent payroll tax.

Pension funds: Employees aged 16-70 years must be members of a pension fund and contribute 4 per cent of their wages, generally deducted on a withholding basis. The employer counter-contributes at least another 8 per cent. Both contributions are deductible from income before tax.

In addition, employees can contribute up to 2 per cent of their income to a pension fund on an optional basis and this contribution is also tax-exempt. (This rate is generally 4 per cent but a 2 per cent rate will apply temporarily in 2012–2014.) If an employee chooses to take this option the employer will generally match the employee's contribution by 2 per cent of the employee's wages.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Unemployment benefits are paid proportional to the time spent in paid employment. (See section on unemployment benefits.)

11.2 *Special tax and social security contribution rules for part-time work*

None.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12.1 *Policy changes introduced: 2nd July 2012 – 1st July 2013*

A number of policy changes were introduced in 2013. The main changes to direct taxation and finances of individuals or employers are:

The 5.45% broadly based payroll tax, on financial sector companies only, was raised to 6.75% on 1 January 2013.

The fourth phase of the special provision to withdraw voluntary, supplementary pension fund assets, with a raised maximum to ISK 6,250 thousand per individual, was prolonged until year-end 2013.

The social security contribution rate paid by employers was lowered by one percentage point, from 7.79% to 7.69%.

12.2 *Future policy changes announced since 1st July 2013*

None.